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**DEPARTMENT OF THE ARMY
U.S. ARMY CORPS OF ENGINEERS, MOBILE DISTRICT**

DETERMINATION AND FINDINGS REQUEST FOR CONSOLIDATION

W9127825RA039

**Operation & Maintenance (O&M) with Incidental Repair and Minor Construction,
Indefinite Delivery Indefinite Quantity (IDIQ) Multiple Award Task Order Contracts
(MATOC) in Support of Defense Health Agency (DHA)
Texas Region**

FAR 2.101 defines consolidation or consolidated requirement as a solicitation for a single contract, a multiple-award contract, a task order, or a delivery order to satisfy— (i) Two or more requirements of the Federal agency for supplies or services that have been provided to or performed for the Federal agency under two or more separate contracts, each of which was lower in cost than the total cost of the contract for which offers are solicited; or (ii) Requirements of the Federal agency for construction projects to be performed at two or more discrete sites. FAR 7.107-2 requires that consolidation of requirements with an estimated total dollar value exceeding \$2,000,000 shall be supported by a written determination that consolidation is necessary and justified in accordance with 15 U.S.C. § 657q.

I have reviewed this requirement and associated market research and determined in accordance with 15 U.S.C. § 657q and FAR 7.107-2 that consolidation is both necessary and justified. This approval is made in accordance with the approval thresholds set forth in Army Federal Acquisition Regulation Supplement (AFARS) 5107.107-2(b)(ii), “Consolidation.” My review resulted in the following findings:

FINDINGS

1. Introduction: Headquarters, U.S. Army Corps of Engineers, Mobile District, plans to solicit offers for a MATOC with a total capacity of \$249,000,000 to meet the DHA O&M with Repair and Minor Construction workload that will be performed at two or more discrete sites (per 15 U.S.C. § 657q(a)(2)(B)) under North American Industry Classification System (NAICS) code 236220, Commercial and Institutional Building Construction. The subject solicitation will cover the Texas Region of the United States with a target of six awards for this MATOC pool. Mobile District has set a target of two awards to be reserved for small businesses in accordance with FAR 19.503. Mobile District has conducted analysis and market research that demonstrates consolidation of requirements in this procurement is both necessary and justified. This MATOC will cover the entire state of Texas. Mobile District has conducted analysis and market research that demonstrates consolidation of requirements in this procurement is both necessary and justified.

2. Description of Procurement Action:

a. Project Description:

(1) Mobile District performs studies, investigations, O&M with repair and minor

construction in support of the DHA program. Each project is assigned a Project Delivery Team (PDT) comprised of various organizational elements within the Mobile District, including technical (Engineering and Construction Divisions), contracting, legal, project management (including the Deputy for Small Business), as well as the end user and facilities' engineering organizations. From internal elements, the Mobile District fields an in-house staff that provides project management, technical, contracting, legal, and resource management services to support facility life-cycle programs. The Mobile District's contracting responsibilities for the facilities support include acquisition planning; procurement actions leading up to award of contracts with associated preparation of documentation and approvals; and administration of the resulting contracts, including award and administration of individual task orders.

(2) Congress passed the National Defense Authorization Act (NDAA) in 2017, and by 2021, the phase-in process started shifting control of the military medical commands, like the Army Medical Command (MEDCOM) and other military medical facilities, to DHA.. The purpose of this acquisition is to establish responsive contracts to facilitate the District's continuing support of the DHA program nationwide for O&M with repair and minor construction capability at major medical centers, clinics, and laboratories. The intent is to award Firm Fixed Price (FFP) contracts using selection procedures in FAR Part 15, under product service code Z1DA, Maintenance of Hospitals and Infirmaries. The requirements include repair of real property installed equipment (RPIE), preventive, predictive, demand maintenance, and emergency maintenance of all facility systems and components including architectural, mechanical, electrical, and instrumentation areas of military healthcare and research laboratory facilities in a cost-effective manner. Additionally, minor construction and repairs incidental to the O&M mission is required. Project sizes range from approximately \$5,000,000.00 to \$50,000,000.00 with a wide variance in complexity. This contracting effort, in conjunction with the installation facilities maintenance program, ensures the facilities meet established Department of Defense (DoD) facilities standards. Furthermore, due to the enduring nature of the requirement to ensure compliance with these standards, the necessity for this contract is not expected to be impacted by current or future budget limitations.

(3) DHA's program of O&M with repair and minor construction of medical/healthcare facilities is complex due to the special requirements not found in typical commercial O&M services or construction. Construction and maintenance performed in an occupied healthcare facility is unique from other facility types in technical requirements, code and accreditation compliance, and patient-related risks. Patient privacy issues, infection, contamination and dust control, noise mitigation, short or no-notice disruption of work due to medical emergencies, interim life safety requirements for incapacitated patients and their responsible staff members, and similar issues impact a contractor's ability to perform the required work. In addition to patient care, some other requirements involve different complexities, such as Bio Safety Laboratories (BSL) and facilities governed by the Association for Assessment and Accreditation of Laboratory Animal Care (AAALAC).

b. Acquisition Strategy/Procurement Summary: Due to the NDAA, as described in paragraph (2), the Mobile MST now supports a wider range of military medical facilities – including those of the Air Force, Navy, Coast Guard, and Marine Corps – in addition to Army Medical Command. To meet the demanding O&M with repair and minor construction project requirements of its customers, the Mobile District intends to award an IDIQ, FFP O&M with Repair

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and Minor Construction MATOC in accordance with FAR 16.504(b). The Government anticipates recurring requirements but cannot predetermine with precision the exact quantity, nor exact time period needed. The subject solicitation is an O&M with repair and minor construction requirement. Currently, there are active stand-alone contracts at Brooke Army Medical Center (BAMC) at Joint Base San Antonio awarded in the amount of \$42,093,889.00 set to expire on 28 July 2025 (base year with two one year options); Carl R. Darnall Army Medical Center (CRDAMC) at Fort Cavazos awarded in the amount of \$25,250,535.00 (base year with three one year options) set to expire 31 May 2027; and the Medical Education Training Campus (METC) at Joint Base San Antonio awarded in the amount of \$9,548,898.19 (base period and four one year options) set to expire on 30 April 2028. This regional acquisition will support DHA O&M projects (known and unknown) located in the state of Texas. The Mobile District Medical Support Team (MST) is seeking to establish four MATOCs covering CONUS and US Territories. This will be the first of four O&M with Repair and Minor Construction Regional MATOCs that will be established over the next year and a half. Additionally, it should be noted the Mobile District's customer, the Army Medical Command (MEDCOM), has been absorbed into DHA. This change has increased the demands and end users supported by the Mobile District MST. The Mobile District MST must be flexible and have the ability to anticipate the needs of the customer. The Mobile District MST is working diligently with DHA to determine which new end users the Mobile District MST will acquire and the contracting vehicles that can best support new and existing end users. The proposed O&M with repair and minor construction IDIQ MATOC will provide the Mobile MST a tool to answer the DHA's evolving requirements for the Texas Region in a timely and cost-efficient manner. There are fifteen active military installations in the state of Texas: Joint Base San Antonio (Kelly Air Force Base, Camp Bullis, Fort Sam Houston, Randolph Air Force Base, Lackland Air Force Base, and Martindale Army Air Field), Dyess Air Force Base, Goodfellow Air Force Base, Laughlin Air Force Base, Sheppard Air Force Base, Fort Cavazos, Fort Bliss, Fort Wolters, Naval Air Station Corpus Christi, Naval Air Station Kingsville, Camp Bowie, Coast Guard Air Station Corpus Christi, Coast Guard Air Station Houston, Camp Mabry, and Coast Guard Station Padre Island.

This acquisition will have a single ordering period of five years. Individual task orders will be solicited within the MATOC pool. Mobile District intends to award a target of six awards for this MATOC pool, with three of these awards reserved for small businesses, In accordance with FAR 19.503. This was determined to be the most effective manner of meeting DHA program mission for several reasons. This acquisition approach supports the Small Business Administration's (SBA) goals for the district, an Unrestricted pool with a Small Business reserve. Additionally, the MATOC will efficiently facilitate the Mobile District's smaller O&M with repair and minor construction programs and will position the Mobile District to successfully meet short-fused new requirements that are onboarded to the DHA program. Also, because O&M with Repair and Minor Construction must be provided on a consistent basis and at the highest standard to meet DHA's health facilities' accrediting benchmarks established by the Joint Commission, it is of key importance to DHA that the quality of the level of work performed in its facilities is consistent throughout its inventory. DHA was established by the U.S. government to improve the quality and standardization of the Military Health Care System for all branches of the U.S. Armed Forces. As a key funding agency, the DHA mandates that military health facilities maintain accreditation from the Joint Commission (TJC), which sets national standards for healthcare organizations. TJC accreditation is essential for military healthcare organizations, including those that serve Medicare beneficiaries, as it ensures compliance with safety, quality, and operational standards. By adhering to TJC standards, these

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healthcare facilities can ensure high-quality patient care, improve safety, and foster continuous improvement in health services, all of which ultimately lead to better patient outcomes. This accreditation also enhances the reputation and sustainability of military health institutions. The Joint Commission evaluates healthcare organizations across various sectors, including hospitals, medical centers, ambulatory care centers, and behavioral health facilities. TJC focuses on key areas such as patient care, medication safety, infection control, and consumer rights. Regular on-site surveys by TJC assess healthcare organizations' compliance with these standards. Without this accreditation, military healthcare facilities cannot operate, underscoring the critical importance of maintaining TJC accreditation for operational and regulatory compliance.

This is not a new procurement method for supporting this type of program. The Mobile District currently administers a suite of IDIQ MATOCs, Single Award Task Order Contracts (SATOCs), and stand alone "C" type contracts for facilities O&M and repair and construction performed by contractors from various socio-economic categories. Use of a MATOC tool provides more flexibility and is in the best interest of the Government with respect to timeliness, oversight, and administrative costs. Furthermore, a mixed approach (unrestricted with small business reserve) will ensure that we have adequate competition for all requirements.

c. Applicability of Consolidation: As implemented in FAR 2.101, consolidation or consolidated requirement means a solicitation for a single contract, a multiple-award contract, a task order, or a deliver order to satisfy -- (i) Two or more requirements of the Federal agency for supplies or services that have been provided to or performed for the Federal agency under two or more separate contracts, each of which was lower in cost than the total cost of the contract for which offers are solicited; or (ii) Requirements of the Federal agency for construction projects to be performed at two or more discrete sites. The definition applies to this procurement because this MATOC will be used to perform multiple construction projects, awarded on individual task orders, at two or more discrete sites throughout Texas.

d. Requirements Being Consolidated: The planned MATOC will provide full-service O&M with repair and minor construction of real property facilities and/or their systems and components throughout the Texas Region. Almost all of the projects are unknown at this time; however, all of the projects will be for O&M with repair and minor construction requirements at healthcare facilities located at military installations throughout Texas. It should be noted DHA's program of O&M with repair and minor construction of healthcare facilities (medical, dental, veterinary, behavior, and laboratories) is complex due to the special requirements not found in typical commercial O&M and construction. Construction and maintenance performed in an occupied healthcare facility is unique from other facility types in technical requirements, code and accreditation compliance, and patient-related risks. Since the facilities will be in full operation, the contractor will be required to minimize interference with the daily operation of the facilities and will be required to implement containment measures as required for each specific laboratory. Requirements of several regulatory and accrediting agencies such as the AAALAC that governs animal care must be met, including maintenance of records of preventive maintenance on all critical systems and implementation of the facility's utilities management plan.

e. Procurement History:

(1) There are currently three stand-alone contracts supporting O&M requirements at JBSA BAMC, CRDAMC, and METC. DHA has projected two more sites will be assigned to the Mobile District Medical Support Team: Fort Bliss – William Beaumont Army Medical Center, and the medical facilities at Lackland/Randolph Air Force Base. The contract supporting BAMC at JBSA will expire in July 2025. This site will serve as the seed project for the Texas Region IDIQ MATOC.

Table 1 – Procurement History

Contract Number	Period	Site	Onset	Source Selection	Size
W9127818D0095-W9127819F0060	09/2018-09/2023	CRDAMC – Fort Hood (Cavazos)		Trade-off (MATOC)	LB
W9127818D0098-W9127819F0145	09/2018-09/2023	BAMC – JBSA		Trade-off (MATOC)	LB
W9127818D0098-W9127821F0307	09/2018-09/2023	METC – JBSA		Trade-off (MATOC)	LB
W9127822C0027	07/2022-07/2025	BAMC, JBSA		Trade-off	LB
W9127824C0007	12/2023-05/2027	CRDAMC, Fort Cavazos		Trade-off	LB
W9127824C0011	12/2023-04/2028	METC, JBSA		Trade-off	LB
GRAND TOTAL					

Table 1 is the overall procurement history for the O&M program in the Texas Region over the last six years. Business Size Standard, Large Business is annotated as "LB".

(2) Past services for this requirement were procured through a stand-alone FFP contract and a nationwide MATOC. The previous MATOC included a base year with four one-year options. Like previous acquisitions, this acquisition will be solicited under NAICS 236220 "Commercial and Institutional Building Construction. .

It is imperative that the Mobile District establish regional MATOCs to support the growing DHA mission to achieve medical readiness for U.S. military facilities across the United States and its territories. Currently, there are multiple stand-alone contracts in place to support the O&M with Repair and Minor Construction program. The establishment of a new O&M with Repair and Minor Construction Regional MATOC is a lengthy process, and it is imperative to award the Texas Region MATOC in FY 2025 to ensure the continued support of DHA facilities in that region. The Brooke Army Community Hospital (BAMC) at Joint Base San Antonio, Texas stand-alone contract is set to expire on 28 July 2025. The Carl R. Darnall Army Medical Center (CRDAMC) at Fort Cavazos, Texas stand-alone contract will expire on 31 May 2027, and the Medical Education Training

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Campus (METC) at Joint Base San Antonio (JBSA), Texas is set to expire on 30 April 2028.

f. Rationale for Consolidation:

(1) To streamline acquisition processes and reduce administrative costs within the Texas Region AOR, we are consolidating O&M requirements and considering a MATOC. This approach may encourage competition among multiple contractors, ultimately securing more favorable terms and conditions for the government, while also providing flexibility in the event of workforce reductions. In order to be determined necessary and justified, the benefits of the consolidated acquisition must substantially exceed the benefits that would be derived from alternative contracting approaches that involve a lesser degree of consolidation. Such benefits may include quantifiable cost savings or price reductions as well as other benefits, regardless of whether quantifiable in dollar amounts, to include quality improvements that will save time, improve or enhance performance or efficiency, reduce acquisition cycle time, offer better terms or conditions, or any other supportable benefit. Benefits that are quantifiable are considered substantial if they meet the dollar amounts set forth in FAR 7.107-2(d). If the quantifiable benefits do not meet these thresholds, the approving authority may determine that consolidation is necessary and justified if the expected benefits of the consolidated approach are critical to the agency's mission success and the procurement strategy provides for maximum practicable participation by small business. For this procurement, the quantifiable benefits of consolidation do not meet the threshold set forth in FAR 7.107-2(d). See Section 5 below for the analysis of the benefits of this proposed consolidated acquisition. Although the quantitative benefits are not met, the qualitative benefits of the consolidated approach are critical to the success of the Mobile District.

(2) The Texas Region O&M with incidental Repair and Minor Construction MATOC is one of three regional MATOCs that will be established over the next year and a half. DHA has only definitively provided the sites listed in Table 2 as the current and potential sites that will be assigned to the Mobile District in the state of Texas. However, Texas has fifteen active military installations; and there is the possibility that, as DHA onboard new sites/facilities, Mobile may be assigned more sites than the eight listed in Table 2, which is why establishing a MATOC instead of a stand-alone "C" type contract is the more logical and flexible approach to addressing these unknowns. Given these unknowns and aggressive time constraints, DHA and USACE anticipate establishing a FFP MATOC as the primary acquisition vehicle to support the DHA and the end users (military hospitals, clinics, and laboratories) across the state of Texas.

Utilizing a MATOC in accordance with FAR 16.504 to consolidate the requirements for repair and construction work in support of DHA's Texas Region is necessary to meet the mission objectives because it provides for a contracting vehicle that shortens contracting lead time, assures operational continuity, and improves post security by minimizing the number of contractors accessing the post at any given time. Use of an IDIQ contract is appropriate in accordance with FAR 16.501-2(a), when exact times and/or exact quantities of future deliveries are not known at the time of award. FAR 16.504(b) indicates that the Contracting Officer may use an indefinite-quantity contract when the Government cannot predetermine, above a specified

minimum, the precise quantities of supplies and services that the Government will require during the contract period, and it is inadvisable for the Government to commit itself for more than a minimum quantity. The Contracting Officer should use an indefinite-quantity contract only when a recurring need is anticipated. It is anticipated that the MATOC will be used to fulfill customer requirements to support active medical facilities located at military installations throughout the Texas Region.

Table 2 – Mobile Medical Support Team Projected Texas Region O&M Requirements

Location	Estimated Value	Site	Projected Start Date
Joint Base San Antonio (JBSA)		BAMC, TMC, and DC	Seed Project to IDIQ
Fort Cavazos		CRDAMC, TMC, and DC	December 2026
JBSA		METC	March 2027
Air Force Base Lackland-Randolph		Medical and Dental Facilities	September 2027
Fort Bliss		William Beaumont Army Medical Center and Supporting TMC and DC	March 2026
Naval Air Station Corpus Christi		Naval Health Clinic Corpus Christi	March 2028
Goodfellow-Laughlin Air Force Base-		Laughlin Air Force Base Clinic	March 2028
Naval Air Station Corpus Christi		Naval Health Clinic Corpus Christi	March 2028
Grand Total		<i>A projected \$249M O&M capacity</i>	

(3) The work required under the proposed solicitation involves architectural, mechanical, electrical, instrumentation, security and safety areas of military healthcare and research laboratory facilities at various DHA supported healthcare facilities throughout Texas Region. The consolidated approach is critical to the success of not only the Mobile District but the DHA program. An IDIQ MATOC will provide a flexible and effective contract vehicle that can accommodate DHA's anticipated but unknown repair and construction requirements and provides maximum practicable participation by small business concerns.

Contractor proposal submissions to this solicitation will be taken into consideration when determining if the rule of two is met to set-aside a task order for the small business reserve. All RFPs issued to either the entire MATOC pool or the Small Business reserve follow the established Task Order process. The proposed Texas Region MATOC will follow the same process. This will allow maximum flexibility for soliciting work to the appropriate contractors based upon multiple factors rather than an arbitrary dollar value while also allowing for maximum small business participation. The reserve will be used in accordance with FAR 19.503 or FAR Clause 52.219-32.

3. Applicable Statutes/Regulations: 15 U.S.C. § 657q, FAR 7.107-2, and AFARS 5107.107-2.

4. Results of Market Research:

a. Sources sought notice (SSN) W9127825RSN01 was originally posted on 19 April 2024 with a North American Industry Classification System (NAICS) of 236220 with a closing date of 6 May 2024. The notice sought information on the capability and availability of potential contractors interested in this requirement. Industry expressed interest and contractors are positioning themselves for this acquisition. The notice received eleven responses. The respondents included three large business concerns, and eight small business concerns. The small business concerns are two small business concerns; two 8(a) business concerns; one (8) HubZone; one 8(a) SDB and WOSB, one SDVOSB, one 8(a) and Alaskan Native business concern. Successful and fully capable contractors were determined to have capability and experience in the following areas: (1) O&M with Repair and Minor Construction at active military occupied medical facilities; (2) projects within the geographic region of the solicitation (Texas); (3) projects of similar scope (to include BSL and AAALAC experience) ranging in dollar value of \$5,000,000.00 to \$50,000,000.00, and (4) Joint Commission (JC) experience. The value of projects previously performed is a good indicator of the size of projects they are capable of performing. It was determined [REDACTED] contractors under the SSN were considered fully capable of performing the O&M with Repair and Minor Construction requirements in the Texas Region. The [REDACTED] capable contractors are as follows: [REDACTED]

The review team concluded that it is in the best interest of the Government to solicit this acquisition as an unrestricted procurement with a small business reserve, based on all market research including the results of the original and revised sources sought notice and the historical data. The MST decided a small business reserve would be most effective given the varying project requirements consisting of both large and small complexity O&M projects such as work consisting of Direct Patient Care or Complex Laboratories (BSL and AAALAC) and smaller and non-complex projects such as the Medical Education Training Center (METC). This determination is supported by the results of the market research, see Table 3 The rule of two per FAR 19.504(c) will be used to determine the method to determine which requirements are appropriate to limit task orders to the small businesses awarded under the Texas Region MATOC.

Table 3-Business Concerns-Capabilities

Business Concern	Military Projects (Non-Medical)	O&M and Repair of Active Non-Military Treatment Facilities	O&M and Repair of Active Military Treatment Facilities	Work in Texas	Repair/Const Military or Non-Military Medical Treatment Facilities (no O&M)	BSL / AAALAC	Projects between \$5M to \$50M	Joint Commission
Small Business /8(a)/SDB/WOSB				X	X		X	
Small Business /8(a)	X			X				
Small Business /8(a)/HubZone/							X	

Small Business SDVOSB					X		X	
Large*	X		X		X	X	X	X
Small Business**		X		X			X	
Large Business *	X		X	X	X	X	X	X
Small Business/8a/Alaskan Native **	X	X		X			X	X
Small Business /8(a)**	X			X	X		X	
Small Business *	X		X	X	X	X	X	X
Large Business*	X		X	X		X	X	X

*Note: X indicates applicable experience; * indicates fully capable; ** indicates limited capability*

The DHA program includes complex projects at active military treatment facilities to include research laboratories and veterinary clinics. These projects have historically been awarded to large business concerns; in most cases, the awardee was the most highly qualified with competitive price proposals. Additionally, the contractor must have the capability to propose, bid, and mobilize at any location within the Texas Region. Table 3 demonstrates three large business concerns, and one small business concern are fully capable of supporting the DHA O&M with Repair and Minor Construction program in the Texas Region. Two 8(a) business concerns, and one small business concern demonstrated limited capabilities to support the program within the Texas Region. The other Offerors were not considered capable of successfully completing DHA projects in the Texas Region because they did not demonstrate O&M experience (military or non-military), Joint Commission experience, BSL and AAALAC experience, or repair and minor construction experience.

b. This requirement is unrestricted with a small business reserve due to the fact the projected workload will likely include extremely large and complicated O&M projects mixed with smaller, less complicated projects. Examples of complex projects would include requirements working in and around direct patient care, laboratories subject to BSL requirements, and laboratories subject to AAALAC. The approach of including both large businesses with a small business reserve ensures that there will be competition for all of the projects regardless of the projects' size, location, or complexity. The District's Small Business Office was actively involved in the market research process and concurred with the decision to compete this procurement as unrestricted with a small business reserve. Establishing an unrestricted MATOC with a small business reserve gives as much opportunity to small business concerns as a smaller, regional MATOC, however, with a better ability to support the customer's complex projects.. Essentially, an unrestricted MATOC with a small business reserve increases competition at the task order level, provides competitive price proposals, reduces risk of un-awardable projects, and boosts small business opportunities throughout the Texas Region.

The record of the Mobile District's DHA program demonstrates support to small business concerns that will be continued under this MATOC; the use of the small business reserve will be based on FAR Clause 52.219-32 or FAR 19.504-1(c). The proposed MATOC will ensure the District continues to meet its small business goals.

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5. Alternate Contracting Approaches Considered and Rationale for Rejection: If consolidation were precluded in the performance of the DHA mission, Mobile District would have to implement contractual mechanisms for each individual facility (discrete site). Consequently, in the analysis of the possible acquisition strategy alternatives, the Mobile District considered stand-alone “C” type contracts and Single Award Task Order Contract (SATOCs) for each facility. The Mobile District also considered multiple smaller regional MATOCs/SATOCs. Historically, with the Mobile MST program, smaller regional MATOCs or SATOCs have not garnered sufficient interest from qualified contractors to ensure adequate competition. If the MST elected to reduce the size of the proposed MATOC and create smaller regional MATOCs, then the Government risks lower competition and higher prices. The PDT determined in consultation with DHA leadership that the most effective approach to meet the mission requirements is to utilize this proposed MATOC pool and compete each project within the applicable MATOC. It was determined that “C” type contracts did not provide the flexibility required to quickly respond to changes, emergencies, and year-end requirements. SATOCs did not offer sufficient competition and create a higher risk that a facility could be subject to a poor performing contractor that would be difficult and costly to replace. The analysis of the alternative approaches is as follows:

a. Alternative 1: Stand-Alone “C” Type Contracts: The Mobile District considered the award of multiple stand-alone “C” Type contracts to vendors to perform the work for Texas Region. While this approach could provide a lesser degree of consolidation, or no consolidation at all if individual contracts are awarded for single requirements, the benefits of the chosen alternative substantially exceed the benefits of a C-type approach for the reasons outlined below.

(1) Acquisition Cycle. A complicating element of the DHA program is the difficulty in estimating future annual funding levels. The program is subject to significant annual fluctuations in funding and to impacts on funding priorities by emerging DHA using agencies and installation-level issues and priorities. The Mobile District addresses this budgetary uncertainty by remaining in constant communication with DHA leadership and maintaining adequate contract capacity to respond to unanticipated requirements.

(a) In addition to building capacity, the use of task orders under a MATOC streamlines the procurement process under a regimen that is significantly more expeditious than a “C” contract scheme. Task Order RFPs are sent to the MATOC pool, and technical proposals are evaluated by an informal board which consists of the Technical Manager, Facility Manager, and/or COR. Depending on the complexity of the project and the number of offers, the board can last from one to four hours. It is estimated that placing task orders under a MATOC, reduces acquisition time from 140 to 35 days on average for each project, as shown in Table 3. Based on historical data and the current projection for future DHA projects, the Program Manager knows the Texas Region MATOC will cover eight projects over the next five years and estimates up to seven additional projects, with an estimated capacity of \$249M as a realistic estimation for the proposed Texas Region MATOC.

(b) The customer’s process of prioritizing and funding mission essential projects as well as requirements which do not arise until the end of the fiscal year requires expedited time frames to meet mission needs and leaves little time for contract execution, therefore necessitating

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procurement strategies that facilitate rapid pre-award processes and award of contract actions. Use of an IDIQ contract under FAR Part 16 provides streamlined acquisition procedures that allow rapid execution of individual projects via task orders. A stand-alone “C” type procurement requires upwards of 140 days to award from project identification. Therefore, if the Mobile District is constrained to “C” contracts, requirements that are presented in the fourth quarter would be highly unlikely to award prior to year-end in comparison to the estimated 35 days for a task order award. Currently, there are eight known projects with up to seven unknown projects over the next five years. Soliciting 8-15 stand-alone C-type contracts would be extremely challenging when the other areas of responsibilities (AORs) are taken into consideration, supporting other facilities throughout the nation, negotiating hundreds of modifications in support of the O&M program (facilities across multiple AORs), limited personnel, and anytime during the year with the suggested 60 day phase-in for the O&M requirements.

The Mobile District MST need a tool capable of executing these requirements to support the customer’s mission, executing contracts to ensure the continued and responsive support of active military facilities supported by DHA. The extra 105 days in procurement time necessary for each stand-alone C-type contracts, in comparison to the chosen alternative, make C-type contracts infeasible as contracting vehicles to support Texas Region’s O&M requirements due to limited personnel, the suggested 60-day phase-in, and year end activities. Any requirement presented in the latter part of the fourth quarter would be virtually impossible to accomplish using procedures outside the IDIQ environment. By consolidating these requirements into a MATOC, the Mobile District will be able to execute projects in support of Texas Region well into the fourth quarter, which is necessary to meet mission requirements. The consolidated MATOC will allow the Mobile District to issue RFPs and receive proposals quickly from the MATOC contractors. The Mobile District will be able to solicit and negotiate (if necessary) directly with the MATOC contractors to arrive at fair and reasonable prices on short notice and award projects prior to the end of the fiscal year. Therefore, consolidating these requirements into a MATOC tool is critical to the support the DHA Texas Region program to perform O&M with repair and minor construction requirements that are necessary to keep DHA supported facilities fully functional. Mobile MST requires expedited time frames to meet DHA mission needs.

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(c) The award of “C” contracts for each location at which the Texas Region has requirements, while limiting schedule and workload impacts, was thoroughly considered. For the purpose of this section, there are at least fifteen active military installations in the state of Texas, though at least five but up to 10 projects/task orders are estimated to be awarded over the next five years. The cost savings tables below will be based on ten task orders/projects based on

[REDACTED]

the estimated maximum number of projects the Mobile MST anticipates will be assigned. It should be noted the customer, DHA, has not provided definitive answers and, as it pertains to this requirement, it is better to overestimate than underestimate the projected requirements over the next five years. This does not mean more or less task orders cannot be awarded over the next five years. The nature of the O&M construction work is such that some requirements are unanticipated, and urgent needs arise in response to system failures or mission changes. This makes early definition of all requirements at a given site impossible. Even anticipated projects are typically not approved and released for project development until late in the third quarter or fourth quarter of the fiscal year in which they are to be awarded, and the funding available for these projects is variable and subject to other competing requirements for DHA funding.

(d) The qualitative benefits of the chosen alternative MATOC approach substantially exceed those expected for the alternative “C” type contract given the time savings of 105 days for each requirement, which is critical to the agency’s mission success and necessary to meet mission requirements. Since the transition from MEDCOM to DHA, there has been a push for uniformity not only among the three MSTs (Mobile, Huntsville, and Little Rock) but uniformity among the military facilities. Given DHA’s interest in consistency, the urgency and uncertainty of DHA requirements, and the unpredictability of DHA funding, it is impossible to successfully execute DHA’S O&M Texas Region work under single “C” type contracts at individual sites. DHA’s mission is to provide healthcare to service members, retirees, and their families 24 hours a day, 365 days a year. The chosen MATOC approach will address the program's mission needs, guarantee mission success, and allow the MST to onboard new sites/facilities/end users in an expeditious manner with the least amount of cost to the Government in comparison to “C” type contracts. This approach will also lower risk with more competition (competitive pricing) when compared to “C” type contracts and ultimately ensure that DHA will expeditiously have the facilities necessary to successfully continue their mission. Historically, the solicitations for the O&M stand-alone “C” contracts have not received a large pool of responses. The contractors that have responded to the O&M solicitations for stand-alone contracts either are the same contractors that always submit proposals or they are new contractors that have no experience performing O&M work in a DoD active medical facility or even a non-DoD medical facility. These offerors lack of experience is reflective in their technical proposals and their pricing. Pricing is usually more competitive among MATOC pool contractors because they are more familiar with the site, have more experience, and have built relations with subcontractors in the geographic region of the MATOC. These qualitative benefits justify the chosen alternative over C-type contracts. The stand-alone contracting approach, however, presents the risk that a contractor may demonstrate poor performance in the execution of its projects. If that risk were realized, there is very little remedy available for the Government to respond timely to other facility requirements. It is procedurally difficult to remove a contractor, and a new stand-alone contract would have to be put in place to remedy the situation Re-procuring a task order requirement under a MATOC would be significantly simpler, quicker, and less expensive than initiating a competition to replace a single award or stand-alone (“C” type) contractor.

(2) Cost Savings. Per FAR 7.107-2(d)(3), “savings in administrative or personnel costs alone do not constitute a sufficient justification for a consolidation of contract requirements”

unless the total amount of the cost savings is expected to be substantial in relation to the total cost of the procurement.

(a) This proposed acquisition will support active military medical facilities and laboratories; some operate 24 hours per day, 365 days per year. There are times projects may have to be completed at unusual times to lower the impact to patient care, which result in increased costs to projects. While minimizing acquisition time and performance and schedule risks, cost risks are minimized through open and thorough discussions of the description of work for each task order, resulting in a stronger mutual understanding of requirements. Additionally, Table 3 reflects the estimated total pre-award/award costs required for one stand-alone "C" type contract in comparison to a MATOC. These costs are based on standard regional labor costs developed by Mobile District Contracting for all procurements, along with historical average procurement support costs for Cost Engineering Division, Engineering Division, Construction Division, and Programs and Project Management Division (PPMD).

(b) Additional hours/costs are required for "C" and IDIQ type contracts due to the selection of contract clauses and preparation of applicable Determinations and Findings. MATOC Task Orders do not require contract clauses or the same Pre-Award documents and can therefore be accomplished in fewer hours and at a lower cost. Contracting Division costs are developed utilizing hourly rates for a [REDACTED]. The estimated hours are based on the complexity of the procurement and contract type. The estimated hours also include post award administration including: performance and payment bond review (service order – repair and construction component only), review of monthly COR reports, and contract closeout. Cost Engineering Division and Engineering Division costs are developed utilizing hourly rates for a [REDACTED]. The cost is developed per project and includes development, review, and approval of Independent Government Estimates (IGEs) and project plan and specifications processing. The cost is based on the complexity of the Performance Work Statement, assistance in development of the IGE, and preparation of the Pre-Negotiation Objective Memorandum and Price Negotiation Memorandum. Project Management costs are developed utilizing hourly rates for a [REDACTED]. The cost is based on a historical average of the effort required for acceptance of funds, preparation of Purchase Request and Commitments, and coordination of Mobile District resources.

Table 5– Cost to Award a Stand-Alone “C” Contract

ORGANIZATION	LABOR	TRAVEL
Contracting	[REDACTED]	[REDACTED]
Cost Engineering	[REDACTED]	[REDACTED]
Engineering	[REDACTED]	[REDACTED]
Project Management	[REDACTED]	[REDACTED]
Subtotal	[REDACTED]	[REDACTED]
Total Cost to Award Stand-Alone “C” Contract	[REDACTED]	[REDACTED]

Table 6– Cost to Award a Parent / Base MATOC Pool of Contractors

ORGANIZATION	LABOR	TRAVEL
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Contracting				
Cost Engineering				
Engineering				
Project Management				
Total Cost to Award a Parent/Base MATOC				

Table 7– Cost to Award a MATOC Task Order

ORGANIZATION	LABOR	TRAVEL
Contracting		
Cost Engineering		
Engineering		
Project Management		
Subtotal		

Table 8– Cost Analysis

Acquisition Approach	MATOC Cost	Stand-Alone “C” contract Cost
Cost per Procurement of Task Order or “C” Type Contract		
Number of Estimated Actions frame		
Subtotal		
Cost to award Basic contract		-
Subtotal		
Total Labor Cost to Award		
Total increase in program costs Stand- Alone “C” Contract versus MATOC	-	
Total Increase in program cost resulting from “C” contracts versus MATOC		

**Cost savings is based on the MATOC capacity (\$249M) not the value to establish a MATOC*

Based on the estimated number of FY 2025 procurements and subsequent fiscal years, as demonstrated in Table 7, the increase in program costs to award a stand-alone “C” contract is more than the cost of utilizing a MATOC. The cost savings of consolidating these contract requirements amount to of the proposed contract value, and do not meet the standard set forth in FAR 7.107-2(d). Although the benefits that are quantifiable in terms of dollar amounts do not meet the five percent of the

[REDACTED]

estimated contract value to be considered substantial, as defined by FAR 7.107-2(d), as outlined above, the nonquantifiable benefits of consolidation are justified and necessary to meet the needs of DHA's mission.

(3) Conclusion: An unrestricted MATOC with a small business reserve maximizes the opportunity to acquire high quality, professional services at competitive prices, while minimizing acquisition time and performance and schedule risks. It also facilitates the Government's rapid response to emerging and unforeseen requirements that arrive at year end, which is impossible under individual, stand-alone "C" contracts. Further, reducing the time it takes to complete the acquisition process minimizes the potential of disruption to DHA's mission and ensures that DHA is able to continue to operate and provide healthcare 24 hours per day, 365 days per year, which is critical to meet the agency's mission requirements. The benefits of the chosen alternative substantially exceed those of C-Type contracts.

(b) Alternative 2: Single Award Task Order Contracts (SATOC): The Mobile District considered the award of SATOCs at each discrete site to perform the work for the Texas Region. As previously noted, establishing a MATOC pool of experienced contractors to service the entire program provides the highest degree of consistency in the quality of performance across the program. A MATOC's pool of contractors will be selected based on their past experience performing O&M with repair and minor construction services in similar healthcare facilities. The contractors will gain further experience through the iterative process of responding to RFPs and executing projects. It has been the District's experience that MATOC pool contractors develop into a cadre of more highly qualified and competitive offerors than is available in the general contractor community. Contractors awarded individual facility SATOCs would be selected on similar past performance and experience factors as MATOC contractors and could increase their experience through the iterative task order process of negotiations and performance. The SATOC contracting approach, however, presents the risk that a contractor may demonstrate poor performance in the execution of its SATOC projects. If that risk were realized, there is very little remedy available for the Government to respond timely to other facility requirements. It is procedurally difficult to remove a contractor, and a new IDIQ contract would have to be put in place before any task orders could be utilized to award to any other contractor. Re-procuring a task order requirement under a MATOC would be significantly simpler, quicker, and less expensive than initiating a competition to replace a SATOC contractor.

As a general matter, competition is encouraged, even for task orders for IDIQ contracts. For example, FAR 16.504(c)(1)(ii)(D) has strict requirements for implementing SATOC's over \$100M. While SATOCs that would be awarded under this alternative would be under \$100M, and could be allowed, the general preference remains that competition be encouraged on the task order level. The use of SATOCs in this case is deemed not to be beneficial in meeting any government requirement. Additionally, the requirements necessitate the ability to have contractors who are capable of performing task orders that include both complex laboratory work and complex patient/animal care work. Based on market research, there are only two small business concerns that can provide both of these services and multiple SATOCs would unnecessarily limit small business participation in this program. While in theory this SATOC approach would involve lesser degree of consolidation, it lacks maximum, practicable participation by small businesses based on the complex requirements that would still be

necessary to be performed at Texas Region locations, which rules this consideration out as a viable alternative.

c) Alternative 3: Smaller Regional MATOCs: The Mobile District considered the award of smaller regional MATOCs to perform the work for the Texas Region. However, this regional MATOC is a statewide-only MATOC; to reduce the size of the Texas Regional MATOC to regions of Texas or even by branches of services is impracticable. As previously noted, establishing a MATOC pool of experienced contractors to service the entire program provides the highest degree of consistency in the quality of performance across the program. The MATOC's pool of contractors will be selected based on their past experience performing O&M with repair and minor construction services in similar type healthcare facilities. In addition to a consistent quality of performance, there is an increased incentive for contractors to compete for the current proposed MATOC geographic area of Texas. If even smaller regional MATOCs would be considered, there is a higher likelihood of less competition for selection of the pool because smaller regions would include even less known requirements with less potential future opportunities, ie sites that have not been onboarded by DHA to date. Essentially, the Texas Region MATOC is a "smaller" regional MATOC. Historically, regional MATOCs cover multiple states. This is a single state MATOC. If the Government were to reduce this MATOC to an even smaller MATOC or smaller MATOCs to cover sub-regions of Texas that would not be cost or time efficient to the Government. Reducing the Texas Region MATOC to smaller regional MATOCs will add cost and time required to manage multiple smaller contracts rather than a unified regional approach.

This acquisition will be solicited as unrestricted with a small business reserve. A synopsis of the solicitation will be published via SAM.gov, which will be used to inform industry of the requirements and date of release of the solicitation. This will allow USACE Mobile District to build a list of interested sources. It is simply not in the best interest of the Government to establish smaller regional MATOCs to support the Texas Region.

Table 9 – Analysis Summary

<i>Benefit</i>	<i>Consolidation</i>		
	One MATOC	SATOC	Stand-Alone "C" Contract
Quality	Highest	Average to High	Highest
Acquisition Cycle*	35 days or less	35 days or less	140 days
Terms and Conditions	No Difference	No Difference	No Difference
Administrative Cost	Low	Low	High

* Project Identification to Award

6. Bundling Analysis:

a. Definition of Bundling. FAR 2.101 defines bundling as consolidating two or more requirements for supplies or services, previously provided or performed under separate smaller contracts, into a solicitation for a single contract that is likely to be unsuitable for award to a small business concern due to: (i) The diversity, size, or specialized nature of the elements of the

[REDACTED]

performance specified; (ii) The aggregate dollar value of the anticipated award; (iii) The geographical dispersion of the contract performance sites; or (iv) Any combination of the factors described in paragraphs (i) through (iii) of this definition.

b. Applicability of FAR Bundling Definition. While this procurement constitutes consolidation in that it combines construction requirements at two or more discrete sites, it does not meet the definition of bundling since the Government is not consolidating two or more requirements for supplies or services, previously provided or performed under separate smaller contracts. The PDT consisting of at a minimum the Contracting Officer, Program Manager, Technical Representative, and Small Business Representative will thoroughly assess all projects prior to release of the RFP to determine if the projects are appropriate to send to the reserve or the entire pool. The decision whether to use the small business reserve will be based on FAR Clause 52.219-32, FAR 19.504(c), and/or the rule of two. To determine if the rule of two is met, the type of work, location, complexity, and dollar value of the projects will be reviewed to determine if two or more small businesses in the MATOC pool demonstrated past experience on similar type projects. For example, projects that involve Direct Patient Care or Complex Laboratories (BSL and AAALAC) are complex projects and will likely be determined to be solicited unrestricted as market research revealed there was only one small business who demonstrated experience at active military medical treatment facilities in the Texas Region.

c. Definition of the Competition in Contracting Act (CICA) Bundling Principle. This principle, as developed by the Government Accountability Office (GAO) case law, focuses on whether the combined requirement (new, old, or otherwise) restricts competition, and whether the agency is consolidating or bundling a new requirement unnecessarily. In order to justify CICA Bundling the agency must show "a reasonable basis for why the bundling is necessary to meet the agency need." (Vantex Serv., Inc., B-29041 5, Aug. 8, 2002 and Outdoor Venture Corp., B-299675; B-299676, Jul. 19, 2007).

CICA requires solicitations to provide for full and open competition except where restrictions on competition are necessary to satisfy the procuring agency's needs. In such a case, restrictions on competition are allowed. Bundled procurements combining separate requirements into one contract have the potential to restrict competition by excluding firms that can provide only a portion of the bundled requirement. However, combining like and related efforts to achieve economies of scale and eliminate duplication of effort, consistent with industry practice and market research is a reasonable basis for bundling requirements, though it may have the effect of restricting competition. All the acquisition approaches discussed above implicate CICA bundling, though in varying degrees.

d. Applicability of CICA Bundling Principle. Although this action constitutes CICA bundling by combining like and related O&M with Repair and Minor Construction and MILCON support, it is consistent with industry practice and necessary to satisfy the customers' needs. This procurement will allow the Mobile District to leverage economies of scale, streamline acquisition cycles, and eliminate duplication of efforts by establishing a MATOC with responsive and responsible contractors to perform individual task orders as the need arises. This is critical given the mission of the DHA in providing patient care. See above paragraphs 5.a.(3)(a) and 5.a.(3)(b). Additionally, the Government has independent statutory authority to

[REDACTED]

proceed as proposed - to fulfil these requirements via an unrestricted MATOC business concern with a small business reserve.

7. Considerations, facts, and reasoning supporting the determination: All facts, considerations, and rationale have been covered previously in the findings. All concur that consolidation of this requirement is both necessary and justified.

8. Summary: Though this unrestricted MATOC with a small business reserve constitutes consolidation in that it combines construction at two or more discrete sites in one contract, this approach provides the best combination of competitive procedures: timely acquisition; cost efficiency; quality; and capable prime contractors to perform O&M with repair and minor construction requirements at DHA's healthcare facilities located throughout the Texas Region. This approach also accrues to the benefit of the Mobile District's aggressive small business goals. Stand-alone "C" contracts were considered but rejected as it would result in significantly higher administrative costs and increased acquisition cycle time. Although cost savings do not amount to over 10% of the contract value, as previously discussed, there are still savings in administration costs and additional cost savings during task order negotiations with consolidating. Qualitatively, this consolidated MATOC, as opposed to using a stand-alone contract or other procurement strategies, provides benefits including a significant increase in quality and acquisition cycle. Consolidating these requirements allows the Government to successfully support active medical treatment centers with significantly lowered risk to the Government. Furthermore, having a faster turnaround time is essential to the DHA mission of providing medical care 24 hours a day, 365 days a year, as stated above. If there is a delay in the administrative process of awarding contracts, and the projects cannot be provided on time, then this can ultimately have an impact on military readiness.

If these benefits are not leveraged, the Mobile District will not be able to fully execute the O&M with repair and minor construction requirements of Texas Region, particularly in the third and fourth quarters, which constitutes the largest portion of the DHA's program. Additionally, the Mobile District's DHA program will be drastically impacted in mission readiness, which will negatively affect the ability of the military branches (Army, Navy, and Air Force) and other tenant organizations to accomplish their missions on a state and national level. Therefore, the consolidated approach is critical to the success of not only the Texas Region but also the Mobile District. Additionally, it is significantly less burdensome for the Mobile District's Contracting, Engineering, and Project Management Divisions to administer one MATOC than numerous "C" contracts or site specific SATOCs.

Moreover, the planned approach meets the intent of the statute to protect small business, in that it is the Government's intent to make an award using unrestricted MATOC with a small business reserve. The findings of the market research and the documentation provided herein support the conclusion that consolidation of requirements is both necessary and justified, based on sound business judgment in view of the size, complexity, and number of efforts to be executed throughout the Texas Region, and the consolidated approach provide advantages that substantially exceed the benefits of an approach that provides a lesser degree of consolidation.

[REDACTED]

**DETERMINATION AND FINDINGS
REQUEST FOR CONSOLIDATION**

W9127825RA039

**Operation & Maintenance (O&M) with Incidental Repair and Minor Construction,
Indefinite Delivery Indefinite Quantity (IDIQ) Multiple Award Task Order Contracts
(MATOC) in Support of Defense Health Agency (DHA)
Texas Region**

**The following Mobile District signatures indicate concurrence with the contents of this
Determination and Findings Request for Consolidation:**

[REDACTED]

Aimee McCormick, Program and Project Management Division, CESAM

[REDACTED]

Assistant District Counsel, CESAM

[REDACTED]

Sonya Rodgers, Deputy for Small Business Programs, CESAM

[REDACTED]

Robert McAllister, Contracting Officer, CESAM

[REDACTED]

James Kiesling, Chief, Business Oversight Branch, CESAM

[REDACTED]

Carl Wade, Chief of Contracting Office, Contracting Division, CESAM

**DETERMINATION AND FINDINGS
REQUEST FOR CONSOLIDATION**

W9127825RA039

**Operation & Maintenance (O&M) with Incidental Repair and Minor Construction,
Indefinite Delivery Indefinite Quantity (IDIQ) Multiple Award Task Order Contracts
(MATOC) in Support of Defense Health Agency (DHA)
Texas Region**

The following Senior Contracting Official, South Atlantic Division (SCO-SAD) Office of Counsel, personnel signature indicates concurrence with the contents of this Determination and Findings Request for Consolidation:

[Redacted Signature]

TARRAH M. BEAVIN
SCO Counsel

[REDACTED]

**DETERMINATION AND FINDINGS
REQUEST FOR CONSOLIDATION**

W9127825RA039

**Operation & Maintenance (O&M) with Incidental Repair and Minor Construction,
Indefinite Delivery Indefinite Quantity (IDIQ) Multiple Award Task Order Contracts
(MATOC) in Support of Defense Health Agency (DHA)
Texas Region**

Upon the basis of the findings above and with the concurrence of the SBA, I hereby determine, pursuant to the authority of FAR 7.107-2, 15 USC § 657q, and Army Federal Acquisition Regulation Supplement 5107.107-2(b)(ii) "Consolidation," that the proposed consolidation of the requirements for a O&M with Repair and Minor Construction IDIQ MATOC for the DHA's Texas Region, with a shared capacity of \$249,000,000.00, is both necessary and justified and will serve the best interests of the Government.

[REDACTED]

KIMBERLY A. MARSHALL
Senior Contracting Official – South Atlantic Division